

Generative AI's Act Two

From Technology Hammer to Real Value

How generative AI is transitioning from novelty demos to end-to-end solutions that solve real human problems.

Six Decades of Technological Progress Converged to Enable Generative AI

6 decades

Moore's Law

Delivered the compute horsepower to process exaflops of data.

4 decades

The Internet

Produced trillions of tokens of training data — accelerated by COVID.

2 decades

Mobile & Cloud

Put a supercomputer in every human's palm.

ChatGPT's launch ignited a Cambrian explosion of innovation — but excitement quickly turned to hysteria, revealing cracks in product-market fit and retention.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

>\$1B

in startup revenue in months — a milestone that took SaaS years.

ChatGPT

Fastest-growing application in history, with strong product-market fit among students and developers.

Midjourney

Reported hundreds of millions of dollars in revenue with a team of just 11 people.

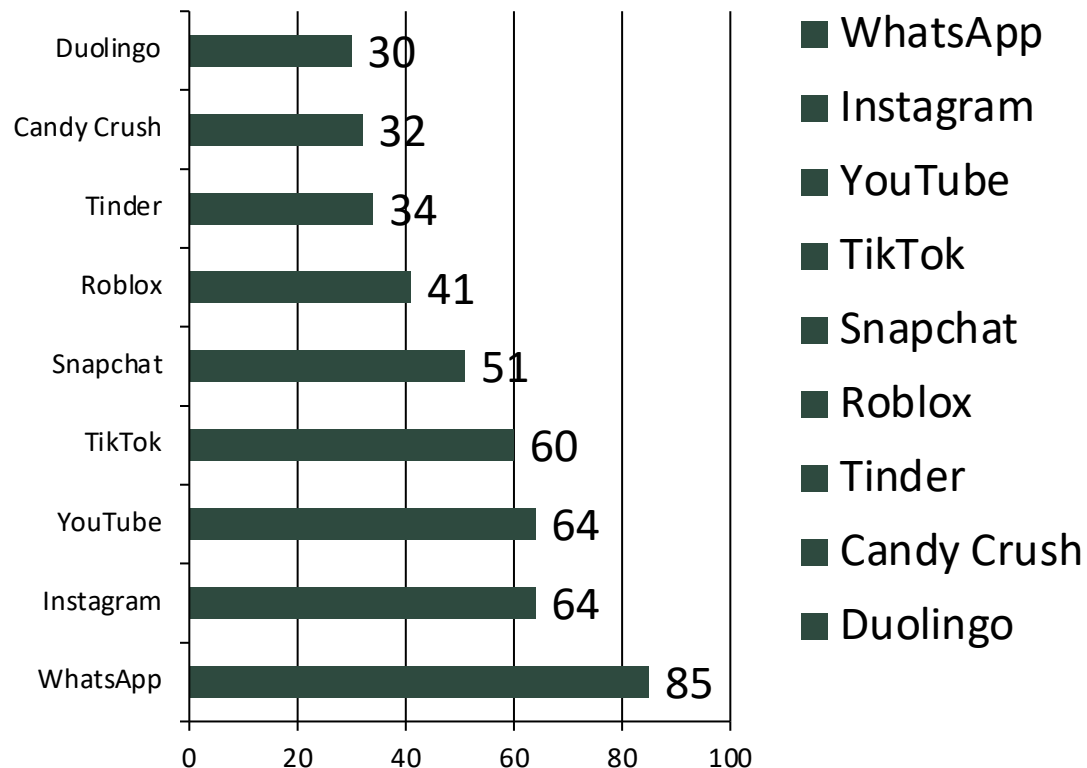
Character.ai

Popularized AI entertainment and companionship; users spend an average of 2 hours per session in-app.

However, these successes don't change the reality that many AI companies lack product-market fit or sustainable competitive advantage.

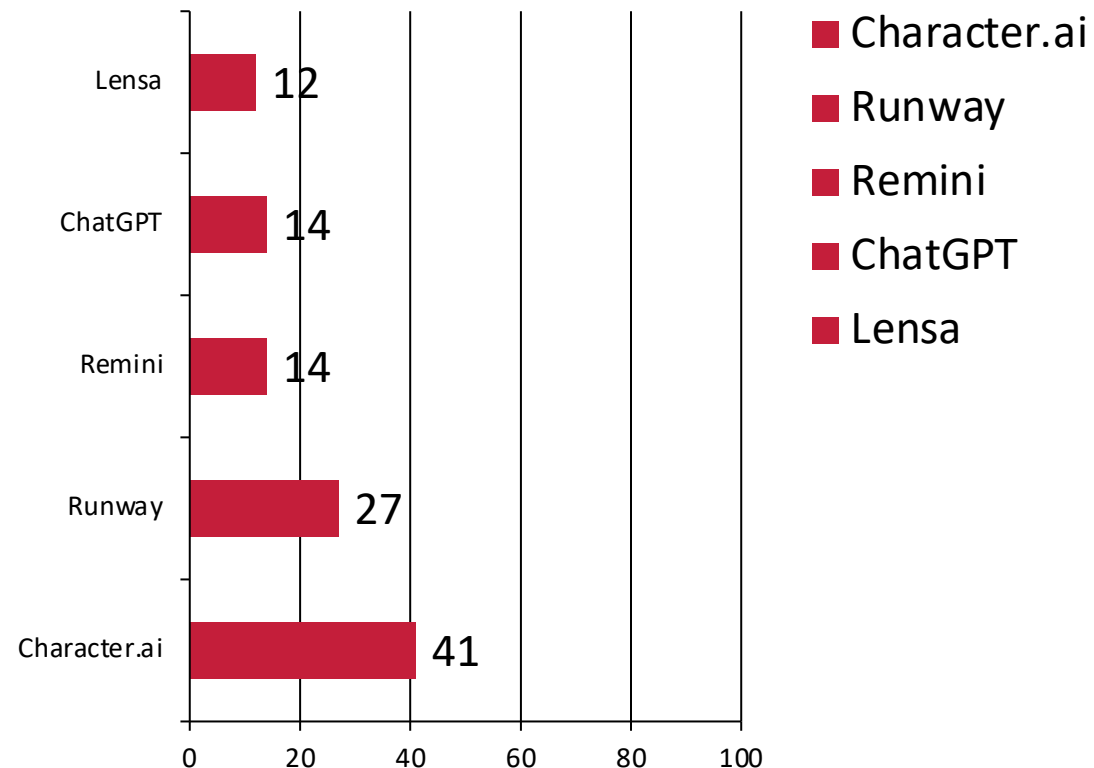
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Incumbents



Median: 51%

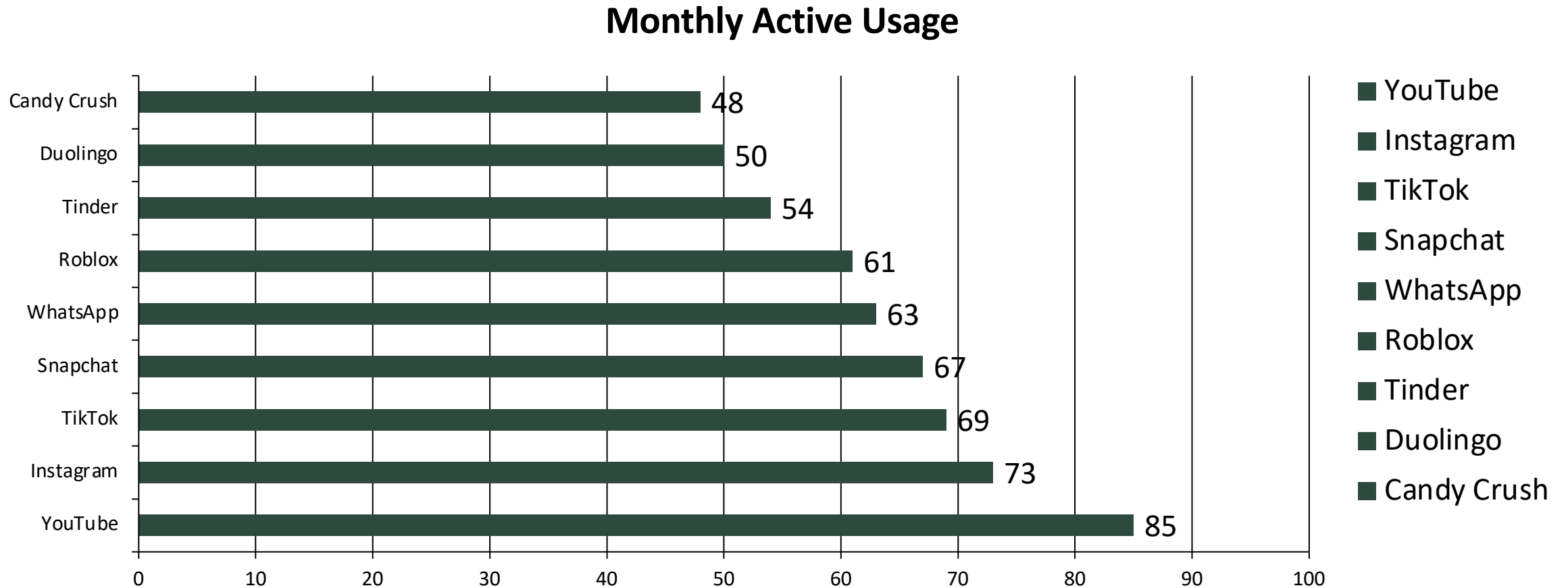
AI-First



Median: 14%

AI-first apps face a 3.6× retention disadvantage. Character.ai is the outlier at 41%, suggesting companionship may be GenAI's strongest consumer use case.

YouTube Leads Incumbents at 85% Monthly Active Usage



Median monthly active usage for incumbents is 63% — the high bar AI apps must clear to achieve sustainable engagement.

Act 1 Was Technology-Out; Act 2 Is Customer-Back

Act 1: Technology-Out

- Foundation models as the entire solution
- Novelty demos and lightweight wrappers
- Poor user retention and stickiness
- Undifferentiated pitches: 'AI Salesforce', 'AI Adobe'
- \$100M pre-product seed rounds

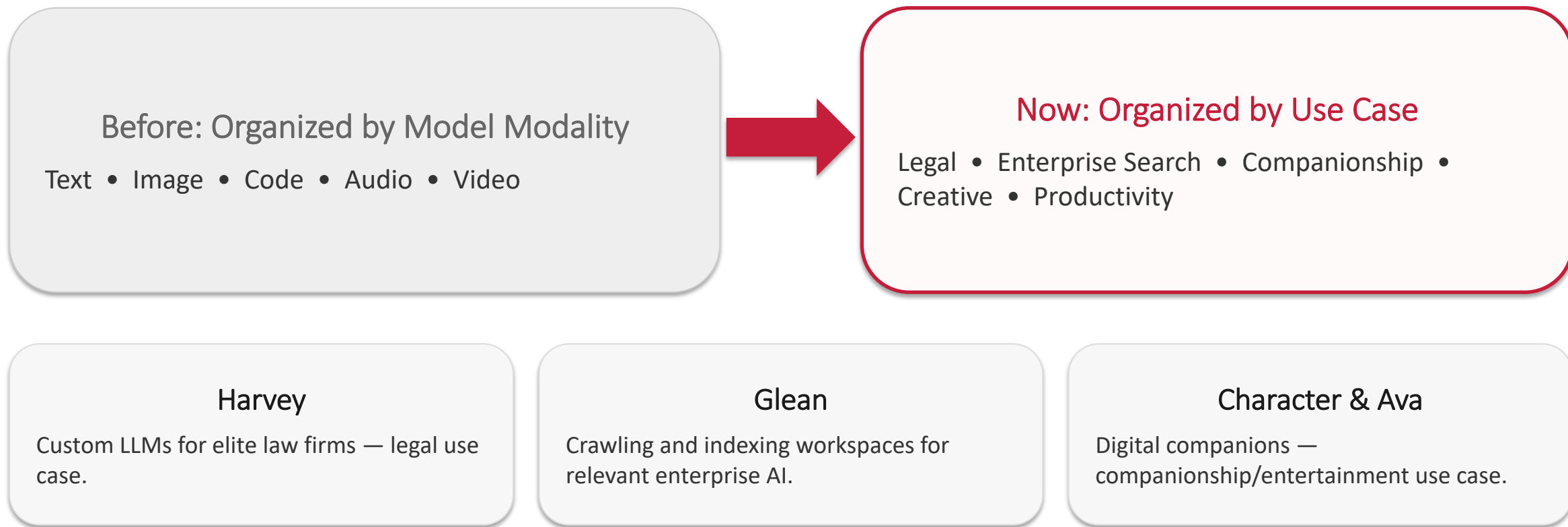


Act 2: Customer-Back

- Foundation models as a piece of a comprehensive solution
- New editing interfaces that make workflows stickier
- Multi-modal, end-to-end problem solving
- Solving human problems, not demoing technology
- Examples: Harvey, Glean, Character, Ava

The shift from technology hammer to actual value delivery defines which companies will win in the next phase.

Market Map Reorganized by Use Case, Not Model Modality



This reorganization mirrors the broader Act 1 → Act 2 transition: from technology hammer to actual value delivery, and the increasingly multi-modal nature of applications.

Key Takeaways: What Separates Winners in Act Two

1

1. Retention is the critical challenge

AI-first apps show a 14% median retention vs. 51% for incumbents — a 3.6× gap that must close for sustainable businesses.

2

2. Foundation models should be a component, not the whole product

Act 2 winners use models as one piece of a comprehensive, workflow-integrated solution.

3

3. Multi-modal, end-to-end solutions will win

New editing interfaces and cross-modal workflows create stickiness that pure model demos cannot match.

4

4. The \$1B+ revenue milestone proves real demand exists

Despite hype-cycle skepticism, GenAI startups reached >\$1B in revenue faster than SaaS ever did.

5

5. Solve end-to-end human problems to define Act 2

Companies like Harvey, Glean, Character, and Ava exemplify the customer-back model that separates lasting value from fleeting novelty.